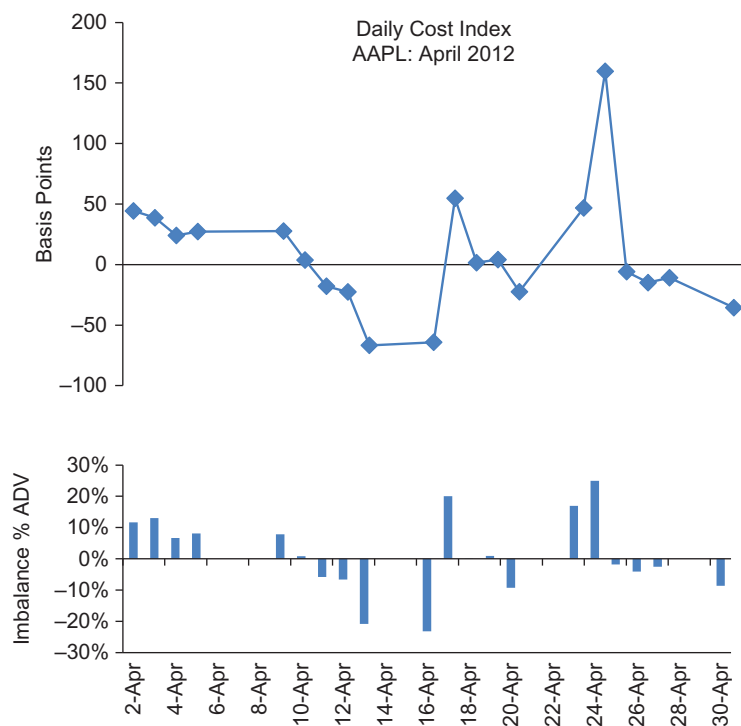




■ **Figure 12.4** Historical Daily Cost Index. Source: NYSE Taq Data, I-Star Impact Model, Yahoo Finance, Google Finance

Another way that daily imbalance data is being used by traders is in conjunction with index changes. Often the expected index change is known in advance, although the exact number of shares in the index and weighting may not be known until the announcement date. The annual Russell Index Reconstitution is a primary example of when the index changes could be pre-traded. The daily cost index is a key tool to help determine if the change has been overtraded on the actual reconstitution day. Changes that have been overtraded are likely to be those trades that have “gone the wrong way” on reconstitution day. That is, the adds to the index fall in price and the deletes from the index increase in price.

The error that we have seen most often with regards to the cost index and index changes is that brokers and vendors use the same market impact parameters as with normal non-event trading days. For index reconstitution, investors are best served with a set of impact parameters specific to the index event.